

PENSIONS & PROVIDENT FUNDS

The next asset class that we will discuss is the National Pension Policy and the different provident funds. All these are offered by the government with a primary objective of long term financial planning and mainly retirement planning. We will learn more about them, their use, their functioning, and their role in the entire financial plan. Let us first begin with the pension. Till the age of 60, a person is working and is getting a salary to support their day to day expenses. However, once they retire, the salary stops coming in. Here, a pension comes in handy and allows them to meet their expenses. During their working years, people save a small part of their income for their retirement. Then they get this as a regular monthly inflow in the form of a pension. We have already been introduced to 3 methods of retirement planning.

We can follow any of the three methods and do it in 2 ways- one, manage our retirement corpus on our own by selecting mutual funds and assets by self and second, give the money to the government and let them take responsibility for our pension.

The government schemes offer relatively lower returns but higher stability and security. More importantly, they come in with a lock-in feature that helps those who lack financial self-discipline. At the same time, managing on our own allows us to manage as per our needs and invest in assets with higher returns. So, we will suggest a balance between the two- the stability and security of the government and combined with higher returns by self-management. The government runs a National Pension Scheme for pensions.

